64. Should we continue to require ETFs that do not provide premium and discount information on their websites in accordance with Investment Company Act rule 6c-11 to include premium and discount information in their annual reports? If not, where should they disclose this information?

65. Money market funds currently are not required to provide MDFP disclosure in their annual reports because the Commission has previously noted that the problems that MDFP disclosure seek to address with respect to investor understanding of performance do not appear to exist with respect to money market funds.[240] The proposal similarly would not require money market funds to provide MDFP disclosure. Should we require some or all money market funds to provide performance information in their shareholder reports? For example, should we require money market funds to include performance information similar to what they must disclose in their prospectuses (*e.g.*, 7-day yield, average annual total returns table, and performance bar chart) or similar to what other funds must disclose in their annual reports (*e.g.*, performance line graph)? If so, should these requirements apply to all money market funds or to a subset of money market funds, such as only money market funds that rely on proposed rule 498B (*i.e.*, whose shareholders receive prompt notice of certain material changes to the fund, with online access to the prospectus)?

66. Are there other changes we should make to current MDFP disclosure requirements? Please explain.

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[240] *See* MDFP Adopting Release, *supra* footnote 180, at Section I.C.5 (noting, however, that money market funds retain the option of providing investors with a discussion of their performance, including illustrative line graphs).

d. Fund Statistics

We are proposing to require a fund to disclose certain fund statistics in its annual report, including the fund's: (1) net assets, (2) total number of portfolio holdings, and (3) portfolio turnover rate. We are also proposing to permit a fund to disclose any additional statistics that the fund believes would help shareholders better understand the fund's activities and operation during the reporting period (*e.g.*, tracking error, maturity, duration, average credit quality, or yield).[241] Based on information we received in response to the recent Fund Investor Experience RFC, it is our understanding that investors prefer succinct fund disclosures in graphical format, and they are less likely to review information presented in long narratives.[242] We believe that permitting funds to provide key fund statistics in a user-friendly format could enable funds to provide more meaningful information to investors, and encourage investors to focus on the more significant factors in evaluating the fund's operations.

We are proposing to require funds to include their net assets as of the end of the reporting period because we believe this disclosure would provide important context for other required information in the shareholder report.[243] Under our proposal, funds would be

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[241] *See* proposed Item 27A(e).

[242] *See* Broadridge Comment Letter I (commenter conducted survey showing that investors are more likely to review fund disclosures if they are delivered in a summary format); *see also* ICI Comment Letter I (encouraging the Commission to allow funds to produce summary shareholder reports that are succinct and informative).

[243] Because the measure of a fund's net assets is included in the fund's audited financial statements, the fund would be required to use or derive such statistic from the fund's audited financial statements. *See* proposed Instruction 3 to proposed Item 27A(e).

If a fund provides tools to help shareholders better understand online or mobile presentations of annual reports, it may wish to provide the ability for shareholders to refer to updated net

required to provide a graphical presentation of holdings.[244] A fund would have the flexibility to provide this graphical presentation either as a percentage of the fund's net asset value, total investments, or investment exposures.[245] We believe that knowing the fund's net assets would allow a shareholder to appreciate better the impact of each holding on the overall performance of the fund.

Similarly, we are proposing to require funds to include the total number of portfolio holdings as of the end of the reporting period.[246] Investors historically have viewed information about a fund's holdings as important to their investment decision process.[247] Many funds currently voluntarily provide the number of fund holdings on their websites, but

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assets when reviewing these presentations, so they are seeing current information. Because the measure of a fund's net assets that would appear in the annual report would be derived from the fund's audited financial statements, the ability to update this statistic (which updates would presumably not be based on audited financial statements) would have to be an add-on functionality, and not a replacement for the end-of-period statistic that would appear on online presentations. For example, a fund could include a pop-up box attached to the fund's net assets information showing the fund's net assets as of a more recent specified date. *See* discussion at *infra* Section II.B.4; *see also infra* footnote 338 and accompanying text (discussing the proposed instruction requiring that the default presentation that any electronically presented annual report uses must be the value that the applicable form requirement prescribes).

244 *See infra* footnote 259. Because we are proposing to require that the fund statistics section appear adjacent to the graphical representation of holdings in the annual report, the net assets statistic would provide shareholders with relevant context for the holdings information that we believe would be helpful to shareholders. *See infra* Section II.B.3.

245 *See infra* text accompanying footnote 264.

246 Because all portfolio holdings are included in a fund's audited financial statements, the fund would be required to use or derive this statistic from the fund's audited financial statements. *See* proposed Instruction 3 to proposed Item 27A(e) of Form N-1A; *see also supra* footnote 243 (discussing the use of online tools to supplement, rather than replace, statistics that are derived from a fund's audited financial statements).

247 *See e.g.,* 2012 Report on Investor Testing of Fund Annual Reports, *supra* footnote 26, at 9 (noting that 45% of investors deemed a fund's portfolio holdings as "absolutely essential information to any investor").

Commission rules do not require them to do so. We believe that, together with the graphical holdings information and net assets, knowing the number of a fund's holdings could help investor to understand better the fund's diversification, which could in turn provide insight into the fund's susceptibility to market fluctuations.[248] Accordingly, to help ensure that an investor has access to information about the total number of fund holdings and to help contextualize other information that funds disclose, we are proposing that funds include that information as of the end of the reporting period in their annual reports.

Finally, we are proposing to require funds to include their portfolio turnover rate as of the end of the reporting period.[249] A higher portfolio turnover rate generally indicates higher transaction costs and may result in higher taxes.[250] Therefore, we believe that a fund's portfolio turnover rate may provide shareholders with a more complete view of the costs associated with investing in the fund.

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248 *See, e.g.* Morningstar's Investing Glossary, *available at* http://www.morningstar.com/InvGlossary/number_of_holdings_in_portfolio.aspx (noting that number of holdings information is meant to be a measure of portfolio risk because the lower the number of portfolio holdings, "the more concentrated the fund is in a few companies or issues, and the more the fund is susceptible to the market fluctuations in these few holdings").

But see Concentrate on Concentration, FINRA Weekly Update, *available at* https://www.finra.org/investors/learn-to-invest/advanced-investing/concentration-risk (stating that a portfolio can be subject to concentration risk even when assets are invested in many different holdings).

249 Because a fund's portfolio turnover is included in the fund's audited financial highlights, the fund would be required to use or derive the portfolio turnover from the fund's audited financial highlights. *See* Instruction 3 to proposed Item 27A(e); *see also supra* footnote 243 (discussing the use of online tools to supplement, rather than replace, statistics that are derived from a fund's audited financial statements).

250 *See supra* footnote 558.

Besides requiring funds to include their net assets, number of fund holdings, and portfolio turnover rate, we are providing flexibility for funds to disclose additional fund statistics if they are reasonably related to a fund's investment strategy. In general, funds would be limited in their ability to include information in their annual reports beyond that which Form N-1A would specifically permit or require.[251] We are proposing an exception to this limitation because these additional fund statistics may help shareholders better understand the fund's activities and operation during its most recent fiscal year. Permitting funds to provide key fund statistics that are tailored to the fund's investment strategy could enable them to provide information that is meaningful to their specific shareholder base. The proposed flexibility to include additional "statistics"—a term that we believe conveys a brief presentation of quantitative measures—is designed to provide information in a concise format that would assist shareholders in evaluating significant factors that reflect the fund's performance and operations. For example, a fund that has a stated investment objective of maintaining returns that correspond to the returns of a securities index might consider including its tracking error as an additional statistic. Similarly, a fund that invests primarily in fixed-income bonds might consider including statistics such as maturity, duration, average credit quality, or yield. In each case, these additional statistics would be reasonably related to the relevant fund's investment strategy and would help shareholders better understand the fund's activities and operations during the reporting period.

We are proposing several instructions that are designed to help shareholders more easily digest any additional statistics that funds would disclose in their annual reports, and to

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[251] For instance, funds have the ability to select the most appropriate categories when preparing their graphical representation of holdings. *See* proposed Item 27A(f) of Form N-1A.